Item 1A. Risk Factors

Apple Inc. Form 10-K (Fiscal Year Ended September 28, 2024)\nSection: Item 1A. Risk Factors\n\nMacroeconomic and Industry Risks: Apple operations and performance depend significantly on global and regional economic conditions. Adverse macroeconomic conditions, including inflation, slower growth, and currency fluctuations, have impacted and may continue to impact consumer spending on iPhone, Mac, and iPad hardware products.\n\nSupply Chain and Manufacturing Concentration: Substantially all of Apple hardware products are manufactured by outsourcing partners located primarily in Asia, including China, India, and Vietnam. A significant concentration of manufacturing creates supply chain disruption risks from geopolitical tensions, trade restrictions, tariffs, or natural disasters.\n\nLegal and Regulatory Compliance Risks: Apple is subject to complex and changing laws worldwide, including the European Union Digital Markets Act (DMA) and antitrust litigation, which may require modifications to the App Store business model and reduce Services fee revenue.

Item 7. MD&A - Operating Results

Apple Inc. Form 10-K (Fiscal Year Ended September 28, 2024)\nSection: Item 7. Management Discussion and Analysis of Financial Condition\n\nConsolidated Financial Highlights (in billions, except percentages):\n- Fiscal 2024 Total Net Sales (Revenue): $391.04 billion\n- Fiscal 2023 Total Net Sales (Revenue): $383.29 billion\n- Fiscal 2024 Operating Income: $123.22 billion\n- Fiscal 2023 Operating Income: $114.30 billion\n- Fiscal 2024 Net Income: $93.74 billion\n\nCommentary on Revenue and Margins: Total net sales increased 2.02% year-over-year in FY2024, driven primarily by strong growth in Services revenue ($96.17 billion in FY2024 vs $85.20 billion in FY2023, up 12.88%). Gross margin percentage increased to 46.21% in FY2024 compared to 44.13% in FY2023 due to a favorable shift mix toward higher-margin Services and cost savings, partially offset by foreign exchange headwinds.